The disposition effect, coined by Shefrin and Statman (1985) and confirmed by Grinblatt and Han (2005), is the tendency of investors to sell their winners too early in order to lock in gains, while holding on to losers too long in the hope of making back what they have lost. Shefrin and Statman attributed this effect to mental accounting (a paper loss is less painful than a realized loss), regret aversion (worrying about doing the wrong thing), lack of self-control (abandoning rules you set for yourself), and tax considerations.

Frazzini (2006) showed that the disposition effect leads to underreaction to news events among mutual fund managers. Asset prices do not immediately rise to their fair value with good news due to premature selling. Similarly, when there is bad news, prices fall less than they should because institutional investors are reluctant to sell. Both of these actions delay the price discovery process, which contributes to the momentum effect as stocks continue trending toward their fundamental value.

Odean (1998), looking at the trading records of 10,000 individual investors in the 1980s, found that investors sell stocks for a gain 50% more frequently than they sell stocks for a loss. He found that the disposition effect costs investors, on average, 4.4% in annual returns.

PUTTING IT ALL TOGETHER

The behavioral explanations for momentum focus on human emotional biases that cause markets to display initial underreaction followed by delayed overreaction. The disposition effect impedes an asset's rise to true value due to premature selling and to buying inertia. Anchoring and confirmation bias can also keep prices from reflecting their true values.

Longer term, there is a catch-up process that subsequently leads to overreaction through herding behavior and the bandwagon effect. Thus, herding/anchoring/confirmation bias and the disposition effect complement each other and can lead to a unified, behaviorally based concept of momentum-inducing behavior.

Now, if someone asks you why momentum works, you too might just stare blankly at him or her. You may be at a loss for words to explain it, but at least you now should know that momentum is not just a 212-year flash in